

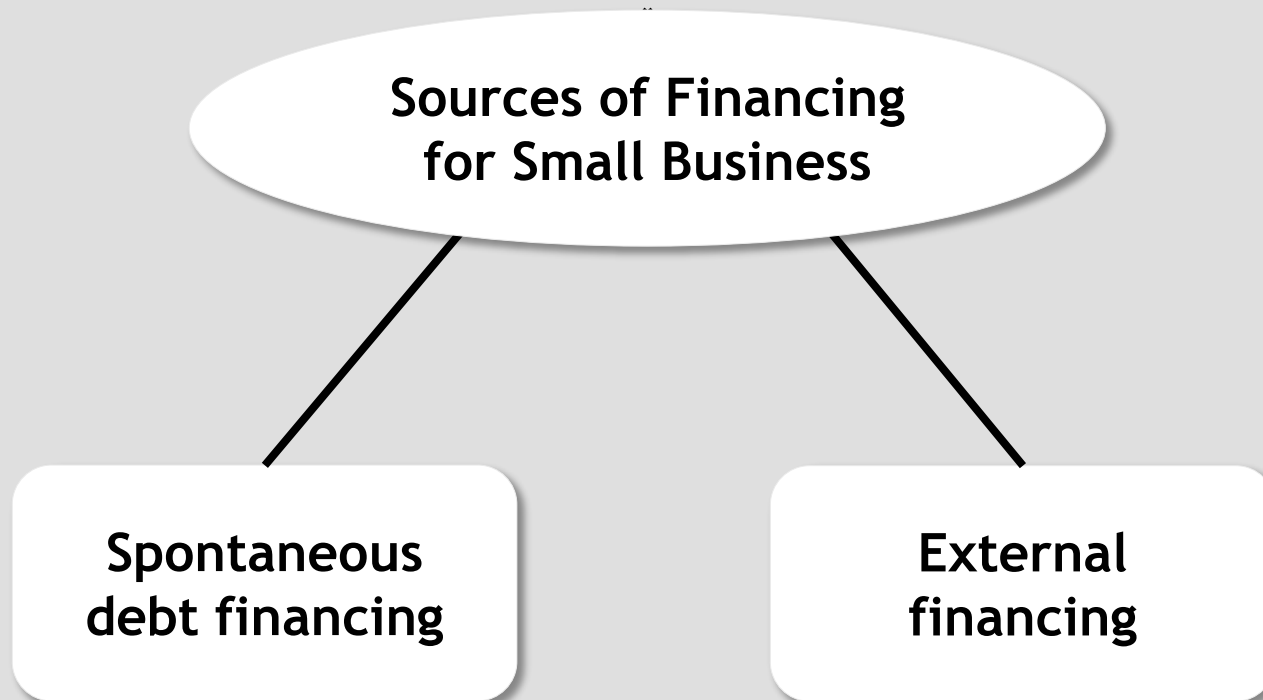
TOPIC 12

A Firm's Sources of Finance

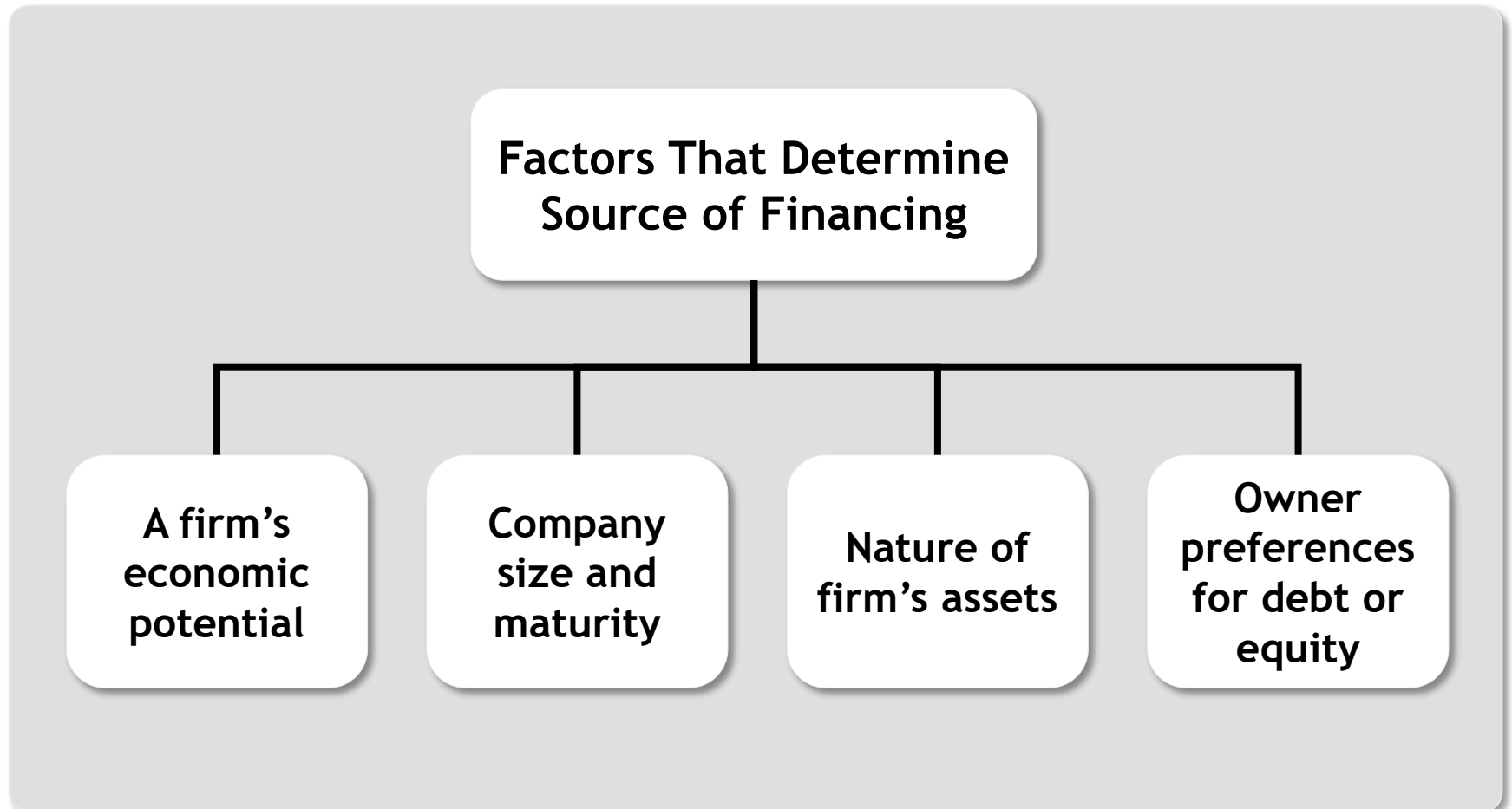
TOPIC OUTCOMES

- Describe how a firm's characteristics affect its available financing sources.
- Evaluate the choice between debt financing and equity financing.
- Identify the typical sources of financing used at the outset of a new venture.
- Discuss the basic process for acquiring and structuring a bank loan.
- Explain how business relationships can be used to finance a small firm.
- Describe the two types of private equity investors who offer financing to small firms.
- Distinguish among the different government loan programs available to small companies.
- Explain when large companies and public stock offerings can be sources of financing.

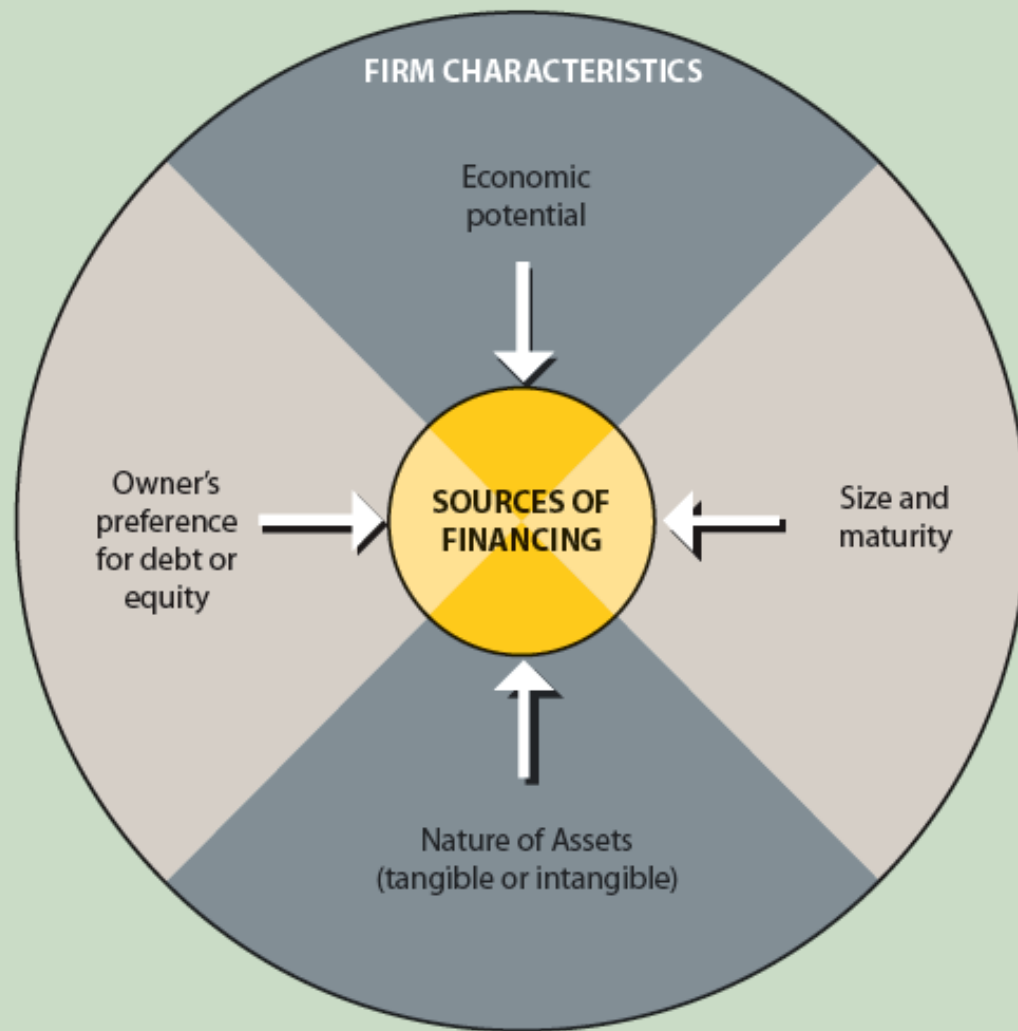
Basic Types of Financing



Firm Characteristics and Sources of Financing



Firm Characteristics and Available Sources of Financing



Debt or Equity Financing?

**Potential
Profitability**

**Financial
Risk**

**Tradeoffs
Between Debt
and Equity**

**Voting
Control**

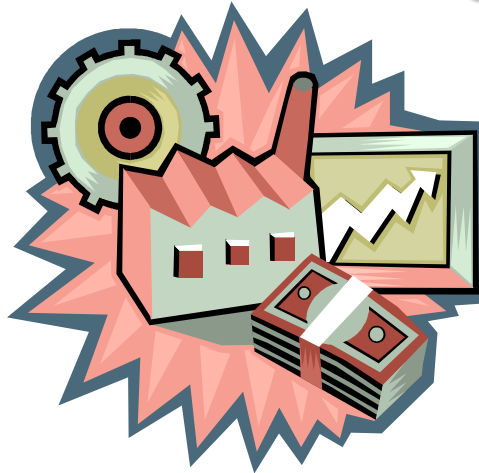
Debt or Equity Financing? (cont'd)

- Return on Assets

- Rate of return earned on a firm's total assets invested
- Computed as $\text{operating income} \div \text{total assets}$

- Return on Equity

- Rate of return earned on the owner's equity investment
- Computed as $\text{net income} \div \text{owner's equity investment}$



Tradeoffs Between Debt and Equity

High Equity and Low Debt Financing



Results:

Voting Control: Owners must share control with other equity investors who buy the stock or make a large investment.

Financial Risk: Lower

Potential Profitability: Lower potential return on investment for the owners

High Debt and Low Equity Financing



Results:

Voting Control: Owners maintain control without having to make a large investment.

Financial Risk: Higher

Potential Profitability: Higher potential return on investment for the owners

Debt Versus Equity at the Daley Company

Financing with \$0 debt and \$200,000 equity:

\$28,000 operating profits on total assets of \$200,000

equals

14% return on total assets
($\$28,000 \div \$200,000$)

No debt

\$200,000 equity

14% return on \$200,000 equity
($\$28,000 \div \$200,000$)

Return on assets equals 14 percent whether financing comes from debt or equity

Return on equity changes depending on choice of financing

Financing with \$100,000 debt and \$100,000 equity:

\$28,000 operating profits on total assets of \$200,000

equals

14% return on total assets
($\$28,000 \div \$200,000$)

\$100,000 debt
(8% Interest rate,
\$8,000 Interest)

\$100,000 equity

20% return on equity
($\$20,000 \div \$100,000$)

Sources of Early Financing

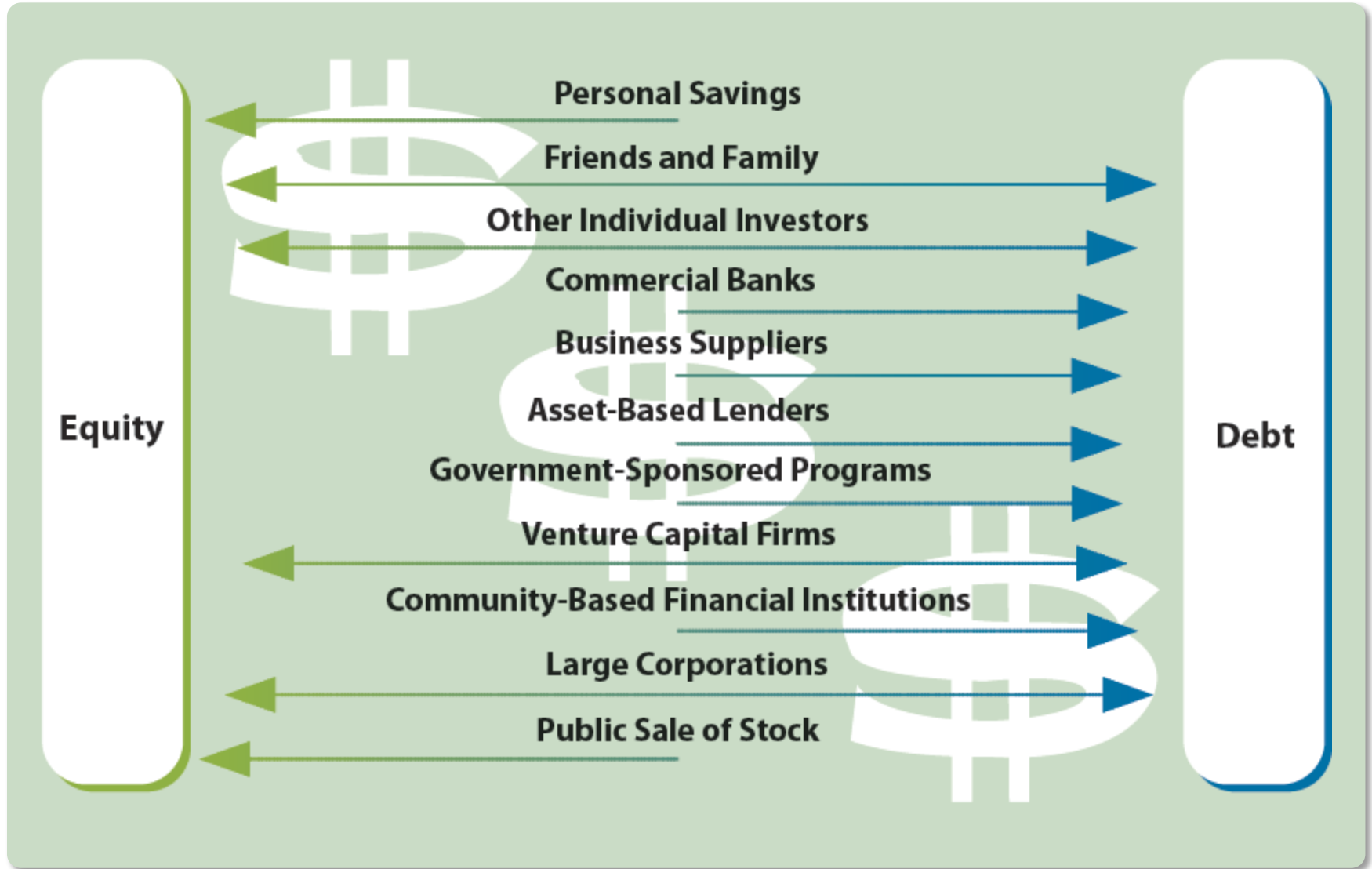
**Personal
Savings**

**Family and
Friends**

**Sources Close
to Home**

**Credit
Cards**

Sources of Funds



Bank Financing

Line of Credit
*Revolving credit
agreement*

Term Loans
*5-10 year
maturities*

**Types of
Loans**

Mortgages
*Chattel
Real estate*

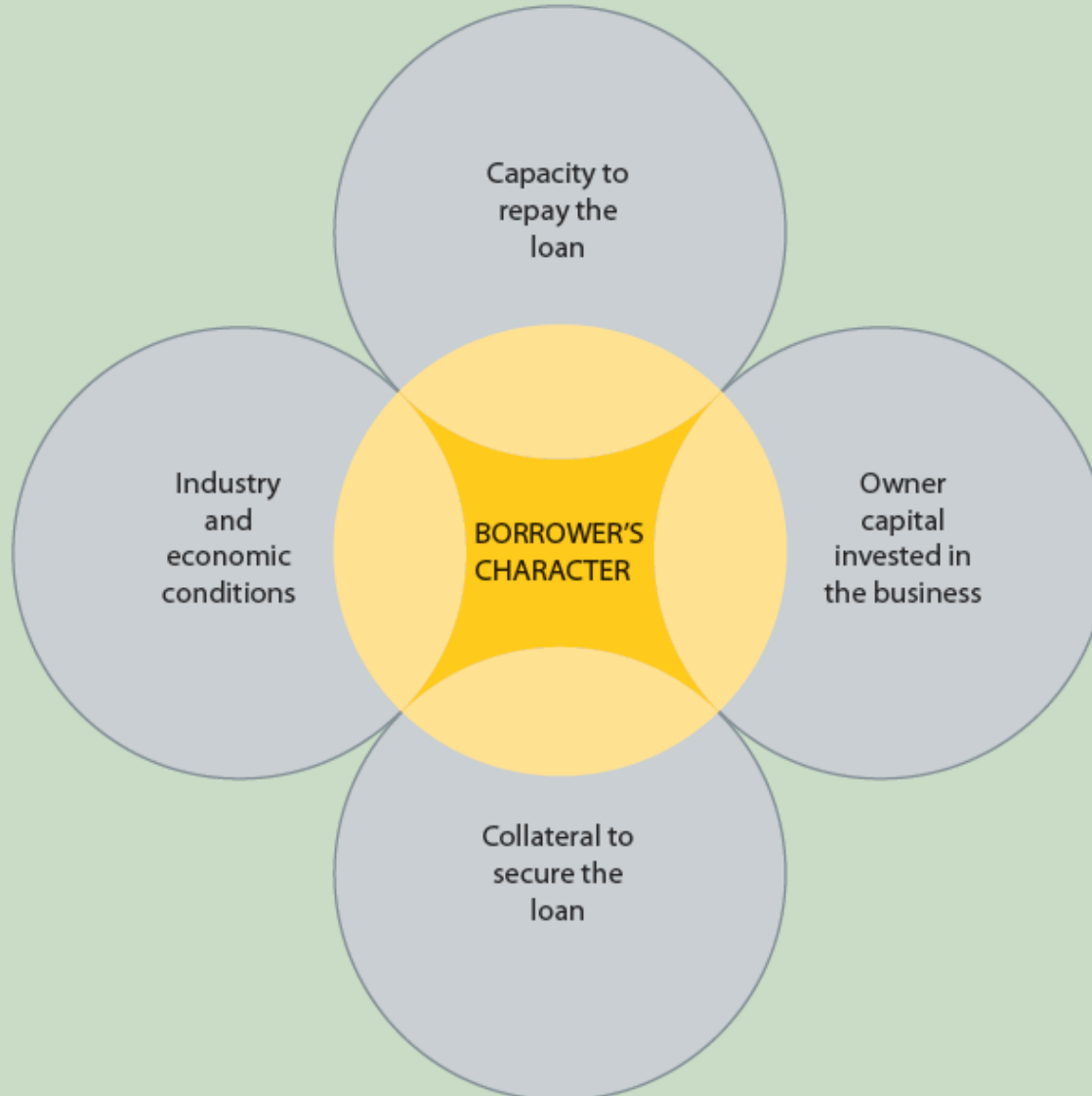
Understanding a Banker's Perspective

- Bankers' Concerns

- Recouping the principal of the loan
- Determining the total amount of income the loan will provide the bank
- Helping the borrower be successful and then become a larger customer



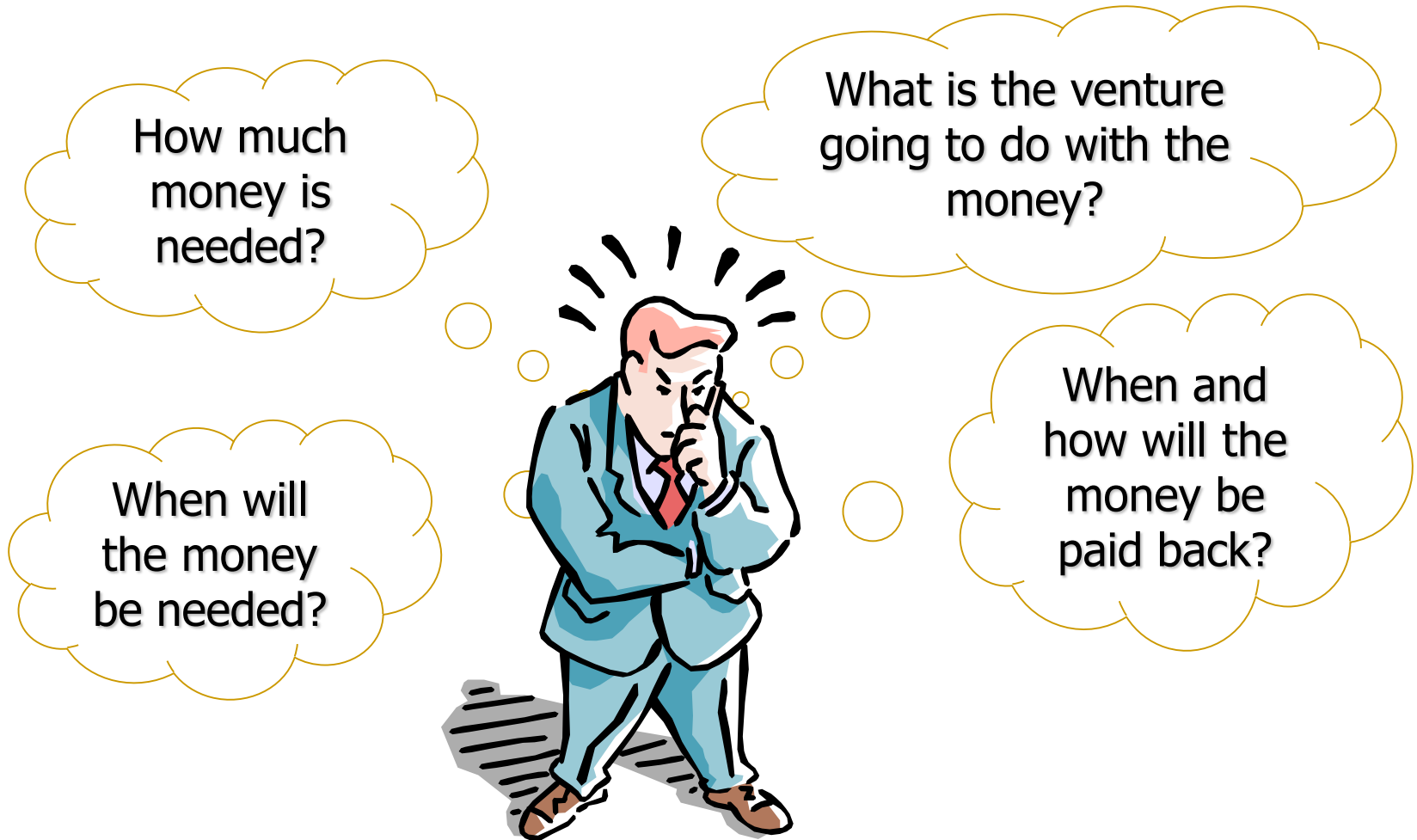
Five C's: The Foundation for Getting a Loan



Questions Lenders Ask

1. Does the borrower have strong character and reasonable ability?
2. Do the purpose and amount of the loan make sense, both for the bank and for the borrower?
3. Does the loan have a certain primary source of repayment?
4. Does the loan have a certain secondary source of repayment?
5. Can the loan be priced profitably to the customer and for the bank?
6. Are this loan and the relationship good for both the customer and the bank?

The Banker's Concerns



Financial Information Required for a Bank Loan

- Three years of the firm's historical statements
 - Balance sheets, income statements, and statements of cash flow
- The firm's pro forma financial statements
 - The timing and amounts of the debt repayment included as part of the forecasts
- Personal financial statements
 - The borrower's personal net worth (assets – debts) and estimated annual income

Sample Written Loan Request

Date of Request:	December 15, 2012														
Borrower:	Prestige & DeLay, Inc.														
Amount:	\$1,000,000														
Use of Proceeds:	<table> <tr> <td>Accounts receivable</td><td>\$ 400,000</td></tr> <tr> <td>Inventory</td><td>200,000</td></tr> <tr> <td>Marketing</td><td>100,000</td></tr> <tr> <td>Officer loans due</td><td>175,000</td></tr> <tr> <td>Salaries</td><td>75,000</td></tr> <tr> <td>Contingencies</td><td><u>50,000</u></td></tr> <tr> <td></td><td>\$1,000,000</td></tr> </table>	Accounts receivable	\$ 400,000	Inventory	200,000	Marketing	100,000	Officer loans due	175,000	Salaries	75,000	Contingencies	<u>50,000</u>		\$1,000,000
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Officer loans due	175,000														
Salaries	75,000														
Contingencies	<u>50,000</u>														
	\$1,000,000														
Type of Loan	Revolving Line of Credit														
Closing Date	January 3, 2013														
Term	12 months														
Rate	8.5%														
Takedown	\$400,000 at closing \$300,000 at March 1, 2013 \$200,000 at June 1, 2013 \$100,000 on September 1, 2013														
Collateral	70 percent of accounts receivable under 90 days 50 percent of current inventory														
Guarantees	Guarantees to be provided by Prestige & DeLay														
Repayment Schedule	Principal and all accrued interest due on anniversary of note														
Source of Funds for Repayment	a. Excess cash from operations (see cash flow) b. Renewable and increase of line if growth is profitable c. Conversion to three-year note														
Contingency Source	Sale and leaseback of equipment														

Negotiating a Loan: The Interest Rate

- Prime Rate
 - Interest rate charged by a commercial bank on loans to its most creditworthy customers
- LIBOR (London InterBank Offered Rate)
 - Interest rate charged by London banks on loans to other London banks
- Fixed Interest Rates
 - Interest rate remains the same for the term of the loan
- Floating Interest Rates
 - Interest rate varies with the changes in the prime rate

Negotiating a Loan: Term of the Loan

- Loan Maturity Date
 - Maturity date matched to use of funds
- Repayment Schedule
 - Equal monthly or annual payments
 - Decreasing monthly or annual payments
- Loan Covenants
 - Bank-imposed restrictions on a borrower
 - ❖ Financial statements
 - ❖ Loan use restrictions and salary limits
 - ❖ Equity requirements
 - ❖ Personal guarantees by borrower



Business Suppliers and Asset-Based Lenders

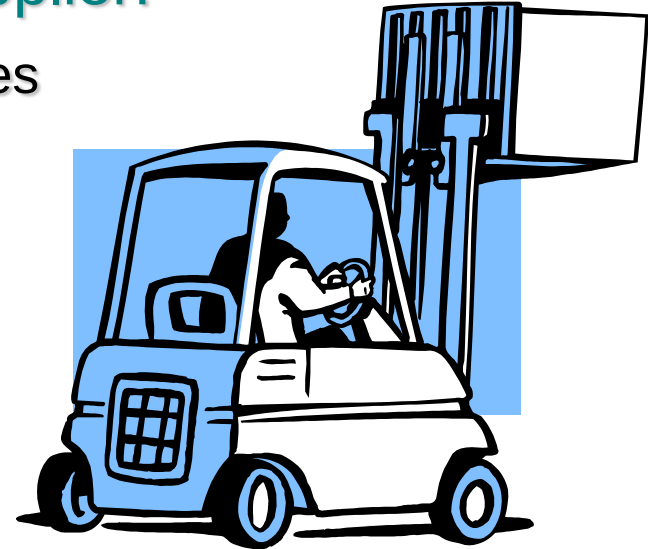
- Accounts Payable (Trade Credit)
 - Supplier-provided financing of inventory to a firm, which sets up an account payable for the amount.
 - ❖ Short-duration financing (30 days)
 - ❖ Amount of credit available depends on type of firm and supplier's willingness to extend credit



Business Suppliers and Asset-Based Lenders (cont'd)

- Equipment Loan and Leases

- Installment loan (mortgage on equipment) from the seller of machinery purchased by a business.
- Equipment leased from a supplier:
 - ❖ Frees up cash for other purposes
 - ❖ Leaves lines of credit open
 - ❖ Provides a hedge against obsolescence



Business Suppliers and Asset-Based Lenders (cont'd)

- Asset-Based Lending

- A line of credit secured by working-capital assets

- Factoring

- ❖ Obtaining cash by selling accounts receivable to factor at discount to invoice value.
 - ❖ Factor can refuse questionable accounts.
 - ❖ Factor charges fees for servicing accounts and for amount advanced to firm prior to collection.

- Purchase-order financing

- ❖ Lender advances the amount of the borrower's cost of goods sold for a specific customer order.

Private Equity Investors

- Business Angels
 - Private individuals who invest in others' entrepreneurial ventures.
- Informal Venture Capital
 - Funds provided by wealthy private individuals (business angels) to high-risk ventures
- Formal Venture Capitalists
 - Form limited partnerships for the purpose of raising venture capital from large institutional investors
 - ❖ The firm's expected profits in future years
 - ❖ The venture capitalist's required rate of return.

The Government

- Small Business Administration (SBA) loans
 - The 7 (a) Guaranty Loan Program
 - ❖ SBA guarantees repayment of loan to lender
 - The Certified Development Company (CDC) 504 Loan Program
 - The 7(m) Microloan Program
 - Small Business Investment Companies (SBICs)
 - Small Business Innovative Research (SBIR)

The Government (cont'd)

- State and Local Government Assistance
 - Loan guarantees help lower down payment.
 - Focus on enhancing specific industries or facilitating certain community goals.
- Community-Based Financial Institutions
 - Lenders that provide financing to small businesses in low-income communities for the purpose of encouraging economic development.



Where Else to Look

- Large Corporations

- Provide financing and technical assistance to critical suppliers and technology developers

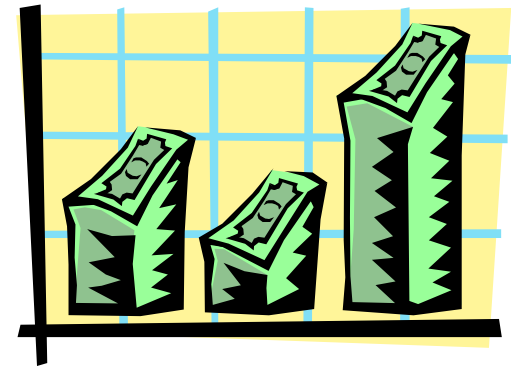
- Stock Sales

- Private placement

- ❖ The sale of a firm's capital stock to selected individuals

- Initial public offering (IPO)

- ❖ The issuance of stock that is to be traded in public financial markets
- ❖ Places firm under SEC securities regulations



Crowdfunding

- Crowdfunding
 - The process of raising very small investments from a large number of investors through online platforms.
- Approaches to Crowdfunding
 - Nonequity funding: donations, rewards, prepurchases
 - Equity investing by accredited investors
- Crowdfunding Investment Issues
 - Voting rights for initial investors reduces attractiveness to venture capitalists.
 - Revelation of confidential and competitive information to crowdfunding investors